

PV stands for Present Value. This function calculates the Present Value of an investment. The arguments it uses are as follows.

RATE: This is the interest rate for a given period, usually annual.

NPER: This is the total number of payments during the life of the investment. This number is arrived at by calculating the length of time that interest is paid and multiplying this by the point in time when interest is earned. For example, a loan of 4 years with 12 monthly interests payments has an NPER value of $4 \times 12 = 48$ payment periods.

PMT: This is the amount paid at each period of the investment and usually includes principal plus interest.

FV: This is the principal plus interest that you want to earn after having made your last payment. If you do not enter this value, Excel assumes that $FV=0$.

	A	B	C	D	E	F
	Annual Rate	Month Rate (Annual Rate/12)	Number of Payments (NPER)	Payment Per month (PMT)	Future Value (FV)	Present Value (PV)
1	10.25%	0.85%	36	-1500		Rs. 43,318.19
2	10.25%	0.85%	36		Rs. 45,000	Rs. 33,130.96

PV Calculation with PMT or FV

TYPE: Enter 0 or ignore this argument when payment is made at the end of the period. Enter 1 if the payment is made at the beginning of the period.

For example, in the figure above, the annual rate for a loan is 10.25%. This has been divided by 12 to arrive at the per-month value for the RATE in the next column. The annual rate is converted into a monthly rate because the payment periods (NPER) and payments (PMT) are monthly. In the two examples, for a payment per month of Rs 1,500, the PV will be Rs 43,318.19. For a future value of Rs 45,000, the PV will be Rs 33,130.96. To calculate the PV on your investment, whip out your investment documents